prompted airlines to trim services. Air India has suspended seven international routes between June and August, while IndiGo has reduced frequencies on some international sectors from July 1 to September 30, though services could resume earlier if conditions improve. SpiceJet's UAE operations have also been disrupted. On domestic routes, airlines are scheduled to operate 7 per cent fewer weekly flights in June than a year earlier, as rising fuel costs render some services commercially unviable.

It has begun showing in passenger numbers. According to DGCA data, international passenger traffic on Indian airlines plunged 39.3 per cent year-on-year in April, while domestic traffic declined 3.47 per cent.

AIR INDIA HAS SUSPENDED SEVEN INTERNATIONAL ROUTES BETWEEN JUNE AND AUGUST; INDIGO AND SPICEJET HAVE ALSO CUT SERVICES. AIRLINES WILL OPERATE 7% FEWER WEEKLY DOMESTIC FLIGHTS IN JUNE THAN A YEAR EARLIER

FUEL SHOCK

Fuel costs have emerged as the biggest immediate challenge for airlines. Domestic jet fuel prices in Delhi rose from about Rs 90,455 per kilolitre before the conflict to around Rs 1.05 lakh now. International ATF prices had already surged by Rs 73-75 per litre, prompting the Federation of Indian Airlines (FIA) to protest. "The ATF pricing for international operations was increased by Rs 73 per litre, making international operations, along with domestic operations, completely unviable and resulting in significant losses," the FIA told the government. The free falling rupee has not helped matters either.

Part of the blame, of course, lies with the Indian airlines themselves. They remain unusually exposed to oil price fluctuations because they do little hedging. Irish ultra-low-cost airline Ryanair, for example, had locked in roughly 80 per cent of its 2026 fuel requirements before the conflict; Lufthansa had secured over 80 per cent of its first-quarter needs. IndiGo has publicly eschewed such cover altogether.

Nevertheless, the Union cabinet on June 3 approved a one-time ATF Price Stabilisation Fund of up to Rs 10,000 crore to cushion sudden price swings. Under it, oil marketing companies (OMCs) will receive a recoverable, interest-free advance to stabilise ATF prices for scheduled Indian airlines; the differential will be recovered once prices moderate. "Since February, the government has been very proactive in coming to the rescue of airlines vis-a-vis the West Asia conflict," says Kapil Kaul, CEO of aviation advisory company, CAPA India. "This stabilisation fund is one such move, and it will be helpful." IndiGo called the intervention "a welcome relief that reflects the government's understanding of the critical role aviation plays in connecting people and enabling economic growth".

Earlier, in April, the government had directed public sector OMCs to cap price hikes at roughly 25 per cent—about Rs 15 per litre—and absorb the rest. The cost of fuel, already 30-40 per cent of operating costs before the conflict, has risen to 55-60 per cent, according to airlines.

Relief came from Delhi and Maharashtra as well, which together form the backbone of Indian aviation—Delhi handled 77.8 million passengers in 2024, as per Airports Council International, while Mumbai is India's second-busiest aviation hub, with around 55 million traffic. On May 15, Maharashtra reduced VAT (value-added tax) on ATF from 18 per cent to 7 per cent for six months. Delhi followed a day later, dropping its rate from 25 to 7 per cent. Following these reductions, the Centre urged other states to follow suit. "We have been engaging with state governments to reduce VAT on ATF for some time, and specifically during crisis periods," civil aviation minister Ram Mohan Naidu said. States have resisted because VAT on ATF is a major source of revenue; Delhi alone estimates that the lower rate will cost

SURVIVAL MODE

IndiGo

FY23	-305
FY24	+2,301
FY25	+7,253
FY26	Data awaited



Graphic by **TANMOY CHAKRABORTY**